

the Postal Service lost \$8.5 billion. Then the bookstores were whacked by Amazon and other online booksellers. Borders, for example, went broke in July 2011.

While traditional paper-based media were in contraction, the Internet was soaring. An entrepreneur, starting out, has a much better chance of making a success in an expanding business. And probably no industry grew faster than Internet-based communications in the mid-2000s. You could make money by providing content. You could make money by selling hardware. You could make money by creating new “killer apps” or selling software. You could make money by offering Internet marketing services, creating Internet web sites, doing Internet graphics or Internet-based video games. Practically every industry offered an Internet opportunity. The entrepreneur just had to find it.

DON'T BE AN OPPORTUNIST

But there were two kinds of opportunities on offer. One was suitable for family wealth creation, the other less so. While many, perhaps most, entrepreneurs are opportunists, the person who is trying to build a durable family business is not. Not in the ordinary sense.

The opportunist is typically short-term oriented. And the Internet provided an incredibly rich ground for him to plant his fast-growing weeds, especially before the end of the 1990s.

The modus operandi of the short-term-oriented hustler is to come up with an idea that can be sold to investors—not necessarily an idea that will make a good business. Typically, he would lay out the idea to seed capital investors as though he were pitching a script to Hollywood. That is, he gave it the “elevator pitch,” a selling proposition so short and sweet that it can be delivered during an elevator ride. The initial investors were also very short-term oriented. They weren't interested in building a real business or even in creating real wealth. What they wanted was an attractive idea that could be developed and then sold to other investors at a profit.

In the early days, it was all pie in the sky. Nobody had any real idea how much money might be made or how it could be made. It looked for a while